

INTERNATIONAL NEOLIBERAL DEVELOPMENT REGIME AND
REGIONAL DEVELOPMENT BANKS
(AFRICAN DEVELOPMENT BANK, ASIAN DEVELOPMENT BANK AND
INTER-AMERICAN DEVELOPMENT BANK)

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Approval of The Graduate School of Social Sciences

Prof. Dr. Tlin Gen z
Director

I certify that this thesis satisfies all the requirements as a thesis for the degree of Master of Science.

Prof. Dr.  zlem Tr
Head of Department

This is to certify that we have read this thesis and that in our opinion it is fully adequate, in scope and quality, as a thesis for the degree of Master of Science.

Assoc. Prof. Dr. M. Fatih Tayfur
Supervisor

Examining Committee Members

Prof. Dr.  ınar  zen (Ankara Uni., IR)

Assoc. Prof. Dr. M. Fatih Tayfur (METU, IR)

Assist. Prof. Dr.  . Onur Bahecek (METU, IR)

I hereby declare that all information in this document has been obtained and presented in accordance with academic rules and ethical conduct. I also declare that, as required by these rules and conduct, I have fully cited and referenced all material and results that are not original to this work.

Name, Last name : Mehmet Hecan

Signature :

ABSTRACT

INTERNATIONAL NEOLIBERAL DEVELOPMENT REGIME AND REGIONAL DEVELOPMENT BANKS (AFRICAN DEVELOPMENT BANK, ASIAN DEVELOPMENT BANK AND INTER-AMERICAN DEVELOPMENT BANK)

Hecan, Mehmet

M.Sc., Department of International Relations

Supervisor: Assoc. Prof. Dr. M. Fatih Tayfur

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This thesis aims to illuminate regional development banks' (RDBs) role in global diffusion of neoliberal policies since the early 1980's. In this regard, it argues that along with the Bretton Woods Institutions (BWIs), the RDBs have also facilitated the spread of neoliberal policies, as these banks have practiced similar conditional/policy-based lending. In order to better explain the complementary roles of BWIs and RDBs within an analytical framework, the thesis employs the international relations (IR) concept of International Regimes and defines the relevant regime as international neoliberal development regime which has generated its own principles, norms, rules, and decision-making procedures over time. Accordingly, whereas the World Bank and IMF have long represented the leadership of this regime, RDBs like the African Development Bank (AfDB), Asian Development Bank (ADB), and Inter-American Development Bank (IDB) have served as regional counterparts of this same regime. Furthermore, this thesis also examines the different roles and natures of each RDB in the international neoliberal development regime.

Keywords: Bretton Woods Institutions, Regional Development Banks, Development Finance, Neoliberalism, International Regimes

ÖZ

ULUSLARARASI NEOLİBERAL KALKINMA REJİMİ VE BÖLGESEL KALKINMA BANKALARI (AFRİKA KALKINMA BANKASI, ASYA KALKINMA BANKASI VE AMERİKAN ÜLKELERİ KALKINMA BANKASI)

Hecan, Mehmet

Yüksek Lisans, Uluslararası İlişkiler Bölümü

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Bu tez, Bretton Woods Kurumları'na benzer bir şekilde bölgesel kalkınma bankalarının da yapısal dönüşüm kredileri vererek neoliberal politikaların küresel çapta yayılmasında rol oynadığını iddia etmektedir. Bununla birlikte 1980 sonrası, prensip, norm, kural ve karar verme süreçleri neoliberal bir kimliğe sahip bir uluslararası kalkınma rejiminin oluştuğunu da belirtmek gerekir. Bu bağlamda bu tezde *uluslararası neoliberal kalkınma rejimi* kavramsallaştırılıp açıklanmıştır. Bu rejimin içinde hem Bretton Woods Kurumları hem de bölgesel kalkınma bankaları piyasa ekonomisi reformlarının dünya genelinde yaygınlaştırılıp kurumsallaştırılmasında tamamlayıcı roller oynamıştır. Bretton Woods Kurumları bu kalkınma rejiminin merkezini teşkil ederken, bölgesel kalkınma bankaları da yine aynı rejimin bölgesel eş değer birleşenleri olmuştur. Bölgesel kalkınma bankalarının uluslararası neoliberal kalkınma rejimindeki rollerini anlatırken bu tez aynı zamanda bu bankaların kendi içinde farklılaşan yapılarını da açıklamaktadır.

Anahtar Kelimeler: Bretton Woods Kurumları, Bölgesel Kalkınma Bankaları, Kalkınma Finansı, Neoliberalizm, Uluslararası Rejimler

To all the good people. We need them...

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LIST OF ABBREVIATIONS

AfDB	African Development Bank
ADB	Asian Development Bank
ASEAN	Association of Southeast Asian Nations
BWIs	Bretton Woods Institutions
DAC	Development Assistance Committee
EBRD	European Bank for Reconstruction and Development
ERSAP	Economic Reform and Structural Adjustment Program
FDI	Foreign Direct Investment
HIPC	Heavily Indebted Poor Countries
IBRD	International Bank for Reconstruction and Development
IDA	International Development Association
IDB	Inter-American Development Bank
IFIs	International Financial Institutions
IMF	International Monetary Fund
LDCs	Least Developing Countries
MDGs	Millennium Development Goals
MDIs	Multilateral Development Institutions
MDBs	Multilateral Development Banks
ODA	Official Development Assistance
OECD	Organization for Economic Cooperation and Development
PBL	Policy-based Lending
PBOs	Policy-based Operations
PRSPs	Poverty Reduction Strategy Papers
RDBs	Regional Development Banks
SAL	Structural Adjustment Lending
SAP	Structural Adjustment Programme
UN	United Nations

CHAPTER I

INTRODUCTION

1.1. Argument

International institutions constructed to promote development have been at the epicenter of the global development agenda since economic development became a global program and priority for developed countries in the post-WWII period (Rapley 1997). The World Bank, one of the two Bretton Woods Institutions (BWIs), has so far been the foremost organization the central organization addressing global economic development. In particular, the advent of neoliberal policy practices during the 1980's brought the World Bank to the fore in the global development agenda. This was thanks to the World Bank's firm commitment to the neoliberal policies that have since taken hold in developing and underdeveloped countries through structural lending policies. Due to its prominent role in shaping global development dynamics and transforming developing countries, the operations of the World Bank, along with similar policies promoted by the IMF, have come under considerable scrutiny. Numerous studies have attempted to evaluate both positive and negative aspects of neoliberal policies through examining the lending policies of the World Bank and the IMF. In this regard, as essential parts of the Bretton Woods system, these two institutions have attracted significant academic attention.

Despite the abovementioned context, it should be also noted that, at the level of international organizations, the World Bank and IMF cannot alone account for the whole of the global diffusion of neoliberalism. The role of regional development banks (RDBs), which are also a part of this story, should be illuminated in order to

give a fuller picture of the international neoliberal development regime. In this context, the type of a role the RDBs have played in the global diffusion of neoliberalism and *how* they have played such a role should be incorporated into academic scrutiny of the subject. These two research questions constitute the underlying motivation of this study. The main aim of the thesis is to shed light on the part of RDBs in the context of global development. In this regard, this thesis argues that, along with the World Bank and the IMF, the RDBs have also facilitated the spread of neoliberal policies, as these regional banks have practiced conditional/policy-based lending similar to that of the BWIs.

While arguing for the facilitative role of the RDBs in the dissemination of neoliberal economic practices, this thesis also employs the international relations (IR) concept of *International Regimes*. Considering that the regime of international development has generated its own *principles, norms, rules, and decision-making procedures* over time this is a fruitful exercise. In this way, it aims to better explain the roles of BWIs and RDBs in an analytical manner. So far, there has not been a coherent attempt to study the subject of international development through the concept of *international regimes*. In light of this gap, this thesis aims to map out the basic contours of the international development regime. In one sense, such an effort can be also regarded as a modest attempt to bridge the fields of development economics and IR.

In this study, we can argue for the existence of a specific international development regime whose *principles, norms, rules, and decision-making procedures* for the most part are derived from neoliberal logic. Under its neoliberal logic, the regime has primarily aimed to facilitate the global transition to market economy, followed by the institutionalization and consolidation of this economy in different aspects around the world. Thus, this regime has been defined as the *international neoliberal development regime* in this study. As the flagship institutions, both the World Bank and the IMF have represented the leadership of this regime, whereas RDBs like the African Development Bank (AfDB), Asian Development Bank (ADB), and Inter-American

Development Bank (IDB) have served as regional counterparts of the same regime. In a Gramscian sense, the regime has rested upon both coercion and consensus. In general, while expert authority, created by an extensive corps of bureaucratic cadres specialized in divers areas of the economy at these development institutions, underpins the consensual components of the *international neoliberal development regime* (Barnett and Finnemore 2004), the conditional financial loans and terms of assistance developing countries have had to accept in the face of economic difficulty (i.e. balance of payments crisis) underpin the coercive components of the same regime.

As the regional extension of the *international neoliberal development regime*, the RDBs have generally promoted either complementary or simultaneous economic reform policies similar to those already promoted by the BWIs. The RDBs have been able to do so thanks to privileged positions in their respective regions as the premier regional development institutions. They are characterized by a considerable command over regional economic dynamics, a large staff with intimate knowledge of the region, and established positive relations with regional countries. The RDBs themselves have not launched regional economic transformation, but have certainly bandwagoned and endorsed the economic transformation led by the BWIs. Coverage and analysis of RDBs in this study also suggest that these regional banks have played roles very similar to those of the Bretton Woods Institutions in promoting neoliberal policies and assisting the institutionalization of market economies. As detailed in the following chapters, the policies promoted through the policy-based lending of the RDBs have resembled those of the BWIs both in content and style. In this respect, the RDBs could be treated as a genuine part of international neoliberal development regime led by the BWIs. More specifically, examining the three RDBs of this study, whereas the AfDB, acting as regional counterpart, has generally served to facilitate the World Bank and IMF-led reform processes, ADB and IDB have mostly acted to support economic policies similar to those promoted by the BWIs, albeit in a more autonomous fashion. Nonetheless, regardless of however these policies are promoted,

all efforts by the RDBs, after all, aim at assisting regional countries through the long process of transition to a robust market economy, consolidation of already existing market economy reforms or further institutionalization of such reforms.

Based on the explanations discussed above, the main findings of this study could be summarized as follows: i) the RDBs have played a similar role to the BWIs in promoting neoliberal policies around the world and ii) while carrying out similar neoliberal functions, both the BWIs and the RDBs have operated in the same international regime of neoliberal development - the *international neoliberal development regime*. Yet, the findings of the research here are not limited to these two main arguments. The thesis also includes several sub-arguments illustrating the differences between the three RDBs and the temporal variation in their dependency on the BWIs in practicing neoliberal policies. To this end, the thesis also examines each RDB in terms of roles and positions they have committed themselves to in the international neoliberal development regime. Separate chapters devoted respectively to the AfDB, ADB and IDB serve this purpose. From the analysis conducted in these chapters, it is evident that each RDB has demonstrated differences. In this context, the following inferences could be put forward: i) In their promotion of neoliberal policies, the three RDBs were generally dependent on the BWIs and mostly bandwagoned with the leadership of the World Bank, particularly at the very beginning (i.e. the 1980s and the early 1990s). Over time they have generated a certain degree of institutional autonomy to varying degrees, but, the overall framework of their operations has been still bounded by a neoliberal logic. In other words, the generation institutional autonomy has not necessarily led to their promotion of policies different from those of the BWIs. Rather, the RDBs have used their increasing autonomy to promote the similar neoliberal policies on their own, with less assistance from the BWIs. ii) Among the three RDBs, the ADB enjoys the most institutional autonomy while the AfDB has the least. It could be argued that the IDB enjoys a level of institutional autonomy similar to that of the ADB, but does not have as much capacity for autonomy as its Asian counterpart. In terms of institutional

autonomy, different factors such as financial resources, human capital and institutional cultures (i.e. the influence of the skilled Japanese bureaucratic culture at the ADB) have measurable effect. iii) Policy-promotion through policy-based lending (also known as conditionality) is still an important operational priority for both the RDBs and the BWIs. Today, these development institutions still aim to promote certain policy changes in exchange for offering loans. Yet, the leverage the RDBs and the BWIs hold over their borrowing member countries is now less visible when compared to the past. In this sense, it is possible to argue that the transformative power of the international neoliberal development regime has waned, especially when compared to the 1980's and 1990's, during which period the regime's influence was far more visible.

A number of reasons account for the weakening influence of the international neoliberal development regime. The first reason examined here is related to the expansion of private flows to the developing world. Due to the swift transformation in international capital markets since the 1980's and 1990's (Buiter and Fries 2002; Cohen 1982), development finance to the developing world has begun to take on new forms such as foreign direct investment (FDI), portfolio flows and private bank lending. Thanks to the emergence of a giant alternative private credit market in which financial needs can easily be met, the assistance of the RDBs and BWIs have come to be a less and less indispensable option for borrowing countries. This proliferation in the favor of the private capital market has considerably reduced the leverage of these development institutions over developing countries. Second, as the era of old dramatic structural adjustment reforms is now well over and most countries have undergone significant economic reform, the reform process through policy-based lending is also near saturation. As a result, there are now relatively fewer geographical spheres or countries in the developing world in which the BWIs and RDBs can practice overtly policy-based operations. Finally, there has also been more and more importance attached to the issues of ownership, particularly starting in the 2000's. Thus, as opposed to the past, rather than the international development banks, the

countries themselves now decide how these funds will be used. Taken in sum, the new dynamics of international development finance seem to provide the BWIs and RDBs with less leverage over the developing world.

1.2. Methodology

As this study attempts to examine the role of the RDBs in the context of international neoliberal development regime, fundamentally it looks at how the economic reform policies known as neoliberal policies have been implemented by the RDBs. In order to do this, this study focuses on policy-based lending (PBL). This area was chosen because, thanks to the conditionalities attached to PBL, the BWIs and RDBs have been able to promote the adoption of market-reforms in the loan recipient countries.

This focus on the PBL has also determined case selection. Today, there are four main RDBs. These are the African Development Bank (AfDB), Asian Development Bank (ADB), European Bank for Reconstruction and Development (EBRD) and Inter-American Development Bank (IDB). However, for this study only the AfDB, ADB and IDB have been selected as these are the only institutions which have practiced PBL. As a relatively nascent RDB, EBRD does not undertake policy or adjustment lending (ADB 1996, 40; EBRD, 2016). In this respect, the study here concentrates on three major and long-established RDBs - AfDB, ADB and IDB - which have a significant history of policy-based lending.

With respect to terminology, it should be noted that, as opposed to its commonplace pejorative meaning, the conception of *neoliberal/neoliberalism* is here not associated with any normative understanding. Throughout the study, *neoliberal/neoliberalism* refers to economic reforming policies which aim to either facilitate the transition from the state-controlled economy or institutionalization/consolidation of already existing market economies. In addition, it should be also noted that there is a bevy of materials

which fall under the concept of *international regimes* with respect to neoliberalism. However, a full examination of this entire field is well beyond the scope of this study. For this reason, the conceptualization of *international neoliberal development regime* in this thesis for the most part refers to the role of international organizations/institutions.

As for data, the study primarily draws on first-hand resources produced by the AfDB, ADB and IDB. In order to prepare chapters on the RDBs, the annuals and special reports released by these institutions were gathered and examined. In addition to these official documents, one knowledgeable official from each RDB was also interviewed in order to check and supplement arguments in this thesis. In total, four high-level staff were interviewed. Dr. Johannes Linn is the former vice-president of the World Bank in Washington D.C., U.S. He provided valuable insights into the World Bank and its relations with the RDBs. The second interviewee was Dr. Bakri Abdul Karim, Division Manager of African Development Institute at the AfDB in Abidjan, Côte d'Ivoire. He provided supplementary comments for the chapter related to the AfDB. The third interviewee was Çiğdem Akin, a public management economist at the ADB in Manila, Philippines. The final interviewee was Dr. Cheryl W. Gray, the Director of the Office of Evaluation and Oversight at the IDB in New York, U.S. Considering that the interviewees all hold various positions in their respective institutions' research and policy departments, their comments and contributions have helped the author cultivate considerable robustness for this study. All interviews were held either through Skype, Whatsapp or in a written form via email.

Moving on from examination of the RDBs, the third and fourth chapters map out the basic contours of the international neoliberal development regime and mostly draw on secondary sources. As there already exists a concept in IR of "*international regimes*", considerable benefit was derived from the book named after the concept itself: *International Regimes*, which was published by Cornell University Press in 1983. Furthermore, with respect to the BWIs, this study has benefitted from the vast

literature on the World Bank and the IMF. In a similar vein, the second chapter, which aims to provide a brief introduction to the RDBs, also rests upon secondary resources, primarily reports and information provided on the individual RDBs' websites.

1.3. A Brief Outlook on Literature

It is possible to demonstrate the importance of such a study in multiple ways. It should first of all be noted that, despite their 50+ years of operation, the RDB are still understudied. There is definitely need to fill in the gap in the literature. If one glances at the related literature, it is immediately apparent that there are only a meager number of studies on the RDBs. Insofar, studies have mostly taken the form of various inquiries into the RDBs. Preliminary studies have generally focused on the history of the RDBs, their progress, financial operations, donor contributions, and organizational structures, as well as debates concerning their effectiveness in distributing financial assistance.¹ One aspect of this existing literature that is still lacking is engagement with paradigmatic discussions along with outdated evaluations. Another lagging part of the literature on the RDBs is comparative work. Few comparative works have been produced, and these generally fail to provide updated frameworks.

Among the existing comparative studies, it is fair to say that the North-South Institute provided the first comprehensive and sound study of the RDBs in surveying three major RDBs - AfDB, ADB, and IDB – and comparing them with the Bretton Woods institutions in the early 1990's. This project resulted in five books as well as Roy Culpeper's (then head of the institution) academic article.² These works aimed at

¹ See: Singh 1969; Knop 1969; White 1970; Ferroni 2002; Luna-Martinez and Vicente 2012; and Nelson 2001.

² See: Culpeper 1997; English and Mule 1996; Kappagoda 1995; Hardy, 1995; Tussie 1995; and Culpeper 1994.

illustrating several unique aspects of the RDBs as well as making policy prescriptions in order to increase the effectiveness of the RDBs in development finance. A more recent study by Sagasti and Prada (2006) presents another comparative perspective by comparing the roles played by the RDBs. The study is important in terms of understanding the increased importance of the RDBs as finance hubs for regional countries. While Culper's, and Sagasti and Prada's studies stand as the most comprehensive comparative studies on the RDBs, other comparative studies of note include those of Bøås and Bull and Bøås, which undertook dual comparisons of different RDBs in specific aspects such as governance and regionalism (Bull and Bøås 2003; Bøås, 1998). Even though the existing comparative studies on the RDBs are useful in the sense that they help us compare organizational structures and operational behaviors, they do not sufficiently engage in debates concerning international development. In other words, they do not offer paradigmatic discussions on international development finance.

Moreover, a brief literature survey also reveals that contents on the RDBs have been rather exhausted as an extension of discussions addressing donor influence in the international financial institutions, which is another commonly studied area of literature.³ These studies use quantitative methods, but poorly link the RDBs to debates on international development. Thus, they are not helpful in mapping out the roles of the RDBs in the global development agenda.

Building upon the existing literature, this study aims to generate a systematic account of the RDBs in both comparative and analytical terms. This is the first study that uses the concept of *international regimes* in studying the RDBs in a global development context. Apart from this, this study could be also regarded as a contribution to studies on global governance as it offers insights into the governance of the international development regime at international organizations/institutions level.

³ See: Krasner 1981; Ogata 1989; Wan 1995; Dutt 1997; Neumayer 2003; Kilby 2006; and Babb 2009.

1.4. Outline of the Chapters

This thesis is comprised of eight chapters. Following upon the introduction chapter, the second chapter provides a brief account of Regional Development Banks (RDBs). Here, the main aim is to map out the origins of the RDBs within a global development context. To this end, first a brief background of development finance is provided. Then the chapter explains how the RDBs have served the realization of various development purposes in their respective regions – be it Africa or Asia or the Americas – by functioning as an alternative financing source for development finance.

The third chapter introduces the concept of *international regimes*. In this regard, the chapter shows how the concept could be used in the discipline of development economics to explain certain spheres of international cooperation. After illustrating the basic components of the concept, this chapter argues that *international regimes* could be also employed to explain international development in order to better explain the international environment in which the BWIs and the RDBs operate as interconnected development institutions in analytical terms. As seen in this chapter, both the BWIs and the RDBs are the part of the same international neoliberal development regime as they have facilitated the diffusion of neoliberal policies by promoting such policies through their policy-based lending facilities.

The fourth chapter is a continuation of the second chapter in that it provides further information on the international neoliberal development regime. This chapter outlines the main changes that have occurred in the international neoliberal development regime since its inception in the early 1980s. The World Bank and the IMF were central in enacting these changes. These alterations in the regime is important to this study as they have had directly impact on the RDBs' own policies. The following chapters on the RDBs demonstrate that the RDBs have amended their policies and